



MASTER OF BUSINESS ADMINISTRATION

SUMMER INTERNSHIP REPORT

ON

“A STUDY ON FORENSIC AUDITING AND RELATED PRACTICES IN KPMG INDIA”

By:

Deepika Parasrampuria

KPMG Assurance and Consulting Services LLP



Date: 10th July 2022

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Deepika Parasrampuria

Roll No.: 201A3010013

MBA (2021-2023)

KPMG Assurance and Consulting Services LLP, Gurgaon



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Dean, School of Management

BML Munjal University

DECLARATION

I hereby declare that the Project Report “A STUDY ON FORENSIC AUDIT AND RELATED PRACTICES IN KPMG INDIA” is my own work to the best of my knowledge and belief. It contains no material previously published or written by another person or material which to substantial extent has been accepted for the award of any other degree, diploma or program of any other institute, except where due acknowledgement has been made in text.

Deepika Parasrampur
Roll No.: 201A3010013
BML Munjal University

Date: 10th July 2022

CERTIFICATE

This is to certify that Project Work entitled “A STUDY ON FORENSIC AUDIT AND RELATED PRACTICES IN KPMG INDIA” under my guidance and supervision for the partial fulfilment of MBA, a Program offered by BML Munjal University.

To the best of my knowledge and belief the Project Report:

- ☐ Embodies the work of the candidate himself/ herself has duly been completed.
- ☐ Fulfils the requirements of the Rules & Regulations relating to the Summer Internship of the Institute.
- ☐ Is up to the standard both in respect to contents and language for being referred to the examiner.

Prof. Jaskiran Arora
Dean, School of Management
BML Munjal University

Date: 10th July 2022

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EXECUTIVE SUMMARY

Forensic Investigation is the combination of scientific methodology and deep domain and industrial knowledge to help in curbing of corporate fraud. Forensic investigation plays a significant role in helping organizations maintaining their going concern status. KPMG is a network of professional service provider present in 144 countries worldwide and employing more than 276,000 people as of FY21. KPMG Global or KPMG International is an English entity and does not provide any service to clients, KPMG member partners provide professional services to clients worldwide and has no right to bind KPMG International in any legal proceedings. KPMG India or KPMG Consulting Assurance Services LLP is the member partner providing services in India and other neighbouring countries. KPMG India provides Tax, Advisory and KPMG Learning Academy Services. Included in Advisory services is the practice of Risk Advisory under which Forensic Investigation is done and getting an opportunity to work along with teams of various subject matters working in tandem to prevent fraud both reactively and proactively. Forensic Investigation includes both proactive and reactive measures in the form of Fraud Risk Management, in this KPMG lays down detailed program for client organizations to follow them stringently which in turn assures reduction in the frequency of fraud occurrence.

According to CII Kroll Fraud Survey Report, 2022 corporate frauds are going to increase by at least 18% in the coming 5 years and the financial loss to the organizations is pegged at several billions leaving aside the reputational damage which is much more damaging than a financial loss as it comes with regulatory crackdown as well as loss of investor confidence and market scepticism.

KPMG Network partners present all over the world has a large to play in this ever-changing business environment of today to help client organizations maintain the goodwill and in helping them sustain their operations and finances. KPMG partners are growingly partnering with sovereign governments to provide advisory services for the betterment of public infrastructure and sustainable practices and assisting in meeting climate goals.

CHAPTER-1: PROFILE OF THE COMPANY

1.1. INTRODUCTION

1.1.1. Company Name: KPMG Assurance and Consulting Services LLP

1.1.2. Registered Address: 2nd Floor, Block T2 (B Wing) Lodha Excelus Apollo Mills Compound, N M Joshi Marg, Mahalaxmi Mumbai Maharashtra 400011.

1.1.3. Email Id: harshgoyal@kpmg.com

1.1.4. Website: <https://home.kpmg/in/en/home/services/advisory.html>

1.1.5. Nature: Multinational Professional Services Network

“KPMG is the brand under which the member firms of KPMG International Limited (KPMG International) operate and provide professional services. Each firm is a separate legal entity and together they form the KPMG global organization. “KPMG” is used to refer to individual member firms within the KPMG organization or to one or more member firms collectively.”

1.1.6. Geographical Presence: Africa, America (North and South), Asia, Europe, Oceania

1.1.7. India Offices: Ahmedabad, Bengaluru, Chennai, Kochi, Hyderabad, Chandigarh, Kolkata, Mumbai, New Delhi, Pune, Vadodara

KPMG businesses arrived in India in August 1993 and have since established a sizable competitive presence there. With over 2700 local enterprises as clients, KPMG India has offices in 14 different cities.

1.1.8. Trading Status: Unlisted

1.1.9. Type: Limited Liability Partnership

1.2. ORGANISATION STRUCTURE

A worldwide association of professional services companies that offers audit, tax, and consulting services anywhere member companies are located.

"KPMG member businesses cannot and do not do corporate global business. The majority of KPMG member companies are managed and owned locally. Each KPMG member firm is in charge of its own duties and obligations.

KPMG International, an English private company limited by guarantee, is a member of, or has other legal relations to, member businesses in the KPMG organisation. KPMG International serves as a coordinating body for the overall advantage of the KPMG member companies, although it does not offer clients professional services. Member businesses are the only ones who provide clients professional services.

"KPMG International and the member firms are not a single entity, a multinational organisation, a joint venture, or in a principal or agent relationship with one another," the statement reads.

"KPMG International serves as the organization's central point of coordination. By creating uniform rules, procedures, and standards that must be followed by all member businesses, it promotes audit quality throughout the organisation. The Global Council, The Global Board (including its committee), The Global Management Team, and Global Steering Groups make up KPMG International's governing bodies.

1.3. SERVICES BY KPMG INDIA

1.3.1. TAX

KPMG offers the capacity to manage all types of taxes, including personal, direct, and indirect taxes. With the offices of all the member firms dispersed around the globe and a multi-jurisdictional approach to tax planning, KPMG India is able to offer comprehensive tax management services.

The current National Head of Tax for KPMG India is Rajeev Dimri.

1.3.2. ADVISORY

In order to achieve sustainable success, KPMG India works closely with its customers to produce customised recommendations in conjunction with industry and technical specialists, bringing the brightest minds from throughout the KPMG network together. Regardless of their fundamental issues, KPMG offers its clients significant insights and all-encompassing thinking while working with multidisciplinary teams, which aids the clients in redesigning their companies. Business consulting, government and public

sector consulting, managed services (bringing in technological tools and subject matter experts to create operational excellence), merger and acquisition services, risk advisory, technology advisory, and supply chain realignment advisory services are all included in KPMG Advisory.

Emphasizing that KPMG India offers GRCS as part of its Risk Advisory Service will assist customers better manage risks, enhance governance, and assure compliance as they navigate the complicated business climate of today. Through financial and operational internal audits, effective risk assessment, the development of model business processes, the creation of ERM framework, the testing of internal controls, and other methods, KPMG India assists its customers in improving and simplifying their operations.

Currently, Ashish Aul is a partner and the head of KPMG India's governance, risk, and compliance services.

Anindya Basu is now KPMG India's National Managing Partner and Head of Advisory, Clients & Markets.

KPMG India offers a combination of subject matter knowledge, distinctive learning design, technical skills and capabilities, and classroom courses on a range of disciplines through its KPMG Learning Academy service. The instructor-led, self-paced, virtual classroom, and mobile learning choices are all combined into one smooth learning experience thanks to the technological infrastructure that KPMG India has cleverly created. The course provides a range of topics, including finance, leadership, management, and human resources, as well as forensics, risk governance, compliance, performance, process, service, and quality, as well as digital and technology.

1.3.3. KPMG LEARNING ACADEMY

The KPMG Learning Academy combines depth and breadth of subject-matter expertise with their experience in learning design and technology. They provide a variety of pre-made digital, blended, and in-person courses on a wide range of topics using their safe and user-friendly online learning platform.

They share their extensive expertise working with a wide range of clients, solutions, and sectors thanks to the Academy. The scope of the professional services they provide, including tax and consulting, is broad, and the goal of the Academy is to make this vast body of knowledge accessible through learning opportunities. It acts as a hub for best practises and thought leadership that are shared throughout our client companies.

The Academy's methodology is its distinguishing feature; by collaborating with customers to address a business need, their learning programmes are goal-focused and ingrained in our consulting expertise. Rather than running standalone training programmes, they collaborate with organisations by creating comprehensive, integrated learning modules that are relevant to business concerns. The Academy curriculum is created to provide organisations with the quantifiable skills and capabilities they need to realise their strategic goals, not merely training.

1.4. INDUSTRIAL PRESENCE OF KPMG INDIA

1.4.1. AEROSPACE AND DEFENCE

The Aerospace and Defence sector in India is at an inflection point, given the modernisation and indigenisation programmes being undertaken by all the three services. The Ministry of Defence in India has laid out an expansive plan for modernisation of obsolete equipment. India is one of the largest importers of arms and defence platforms. The three services have collectively taken upon themselves to be harbingers of 'Make in India' for hardware and infrastructure.

The Government of India had identified the Aerospace and Defence sector as a focus area for the 'Make in India' (i.e. 'Aatmanirbhar Bharat') programme. An interplay of policies governing the sector clearly carve out the integral role of Indian manufacturing and value addition in future procurements. One development supporting the above is the establishment of two defence corridors at Uttar Pradesh and Tamil Nadu.

The Aerospace and Defence practise has a long history of assisting the government, the majority of the top original equipment manufacturers in the world and India, as well as

other players in the A&D supply chain. In order to successfully serve our customers across a range of initiatives in business performance services, transaction services, and tax and regulatory services, including offset advising, we have a well-defined and rigorous strategy.

KPMG India provides services across the project lifecycle but not limited to:

- 1.4.1.1 Defence acquisition procedure advisory
- 1.4.1.2 Offset advisory and implementation support
- 1.4.1.3 Bid management
- 1.4.1.4 Programme management
- 1.4.1.5 Industrial licensing support
- 1.4.1.6 Foreign direct investment assistance
- 1.4.1.7 Market research and entry strategy
- 1.4.1.8 Partner search and collaboration
- 1.4.1.9 Transaction services
- 1.4.1.10 Tax optimisation
- 1.4.1.11 Supply chain management
- 1.4.1.12 Technology transformation.

In India, KPMG's Aerospace and Defense practise has been at the forefront of the sector's campaign for change. The company gave the Indian Ministry of Defence a lot of major contributions about several crucial facets of the procurement policy. Several proposals helped to refine defence contracting in accordance with international best practises. The A&D sector is one of the most tightly regulated in the Indian economy since it is a delicate industry that is essential to national security.



1.4.2. BUILDING AND CONSTRUCTION

India is predicted to take the lead in this expansion since the world now experiences urbanisation at an unprecedented rate that is expected to continue to increase. The Indian real estate holds immense significance in the Indian economy with the sector being the third largest employer after agriculture and manufacturing. To get the desired return on investment for real estate investments, strategic and analytical decision-making are needed. To transform possible prospects into workable growth projects, our team offers cutting-edge services.

Services provided by KPMG India:

1.4.2.1. PROJECT ADVISORY

Typically, they advise customers on the best course of action for difficult real estate circumstances during the conceptualization stage of the project. Then, in order to help the success of urban infrastructure and real estate projects, assistance is provided to both public and private customers with financial, strategic, and geographic decisions that are supported by solid market knowledge.

“Feasibility study | Highest & Best Use study | Market Assessment | Business Plan | Business Location Analysis | Commercial Due Diligence | Entry Strategy | Portfolio Optimization Strategy | Bid Management and Partnerships (including PPP)”

1.4.2.2. CORPORATE FINANCE

Real estate investment transactions are complicated and call for a high level of efficiency, transparency, and domain expertise. KPMG in India facilitates considerable financial returns for the customers because to its extensive grasp of market dynamics and industry connections.

“Fund Raise | Operator & Partner Selection | Financial Due Diligence”

1.4.2.3. INTERNAL AUDIT AND RISK COMPLIANCE

As a result of the sector's mix of tangible and intangible assets, rigorous internal controls, risk management, and compliance are required. The customers receive

valuable insights and data analysis from highly skilled staff, which has a strong sectoral emphasis.

“Internal Audit I Enterprise Risk Management I Compliance Management”

1.4.2.4. TAX

The tax and regulatory environment in India that applies to the real estate and construction industries is dynamic and intricate. KPMG in India helps customers find the most tax-efficient arrangements to achieve their business goals while adhering to the relevant legal and regulatory framework thanks to its team of incredibly experienced experts and awareness of market dynamics.

“Advisory, Representation and compliance | REIT Structuring | Land Monetization | Joint Development and Joint Venture Arrangements | Litigation Support | EPC Contract Structuring I Cross border investments and transactions structuring | Due diligence | Assessments I Fund Raise | Acquisition”

1.4.2.5. VALUATION

KPMG India is aware that valuation is more than just a math problem, so they take the time to learn about the dynamics of the business and its key value drivers. They then use this knowledge to apply the most appropriate valuation methodologies, which they combine with their sector expertise and benchmarking analyses to produce insightful information.

“Business Valuation I Tangible Asset Valuation I Valuation of Intangibles I Financial Modelling”

1.4.2.6. MAJOR PROJECTS ADVISORY

Helps improve the performance of your capital projects and investments. Through the integration of practical experience, technical and financial competence, tried-and-true methodologies, and time-tested digital and technological tools, the skilled team helps project stakeholders succeed in their initiatives.

“Portfolio / Program / Project Management Office | Capital Procurement / Project Cost Reduction | Project Time & Cost Compression | Project Risk Management”

1.4.2.7.MANAGED SERVICES

Oversees several procedures, including those related to finance, accounting, reporting, and taxes. Through the support of many transactional activities, managed service solutions are intended to assist enterprises in lowering overall costs.

“Finance & Accounting/ Fund Accounting | Insight led sales |Talent & HR
|Network & Utilities |Procurement & Supply Chain |Technology as a Service”

Our Real Estate team delivers robust insights and practical advice across the real estate asset and investment lifecycle

Strategy & Feasibility >	IT Strategy and Execution >
Procurement & Financing >	Asset Operations & Performance >
Delivery & Construction >	Asset Management & Improvement >
Environmental, Social & Governance >	Realization and Exit >

Key Contact: Chintan Patel, Partner, Deal Advisory & Head- Building & Construction

1.4.3. CONSUMER MARKET

The rate of digital literacy in India is increasing exponentially. Consumers nowadays are far more knowledgeable, motivated by research, and demanding. In response to ongoing upheaval, consumer markets are changing rapidly. As important factors change, urgent situations provide novel chances and upend conventions.

Consumer markets in India are divided into the following categories by KPMG:

1.4.3.1. Retail: clothing, accessories, jewellery, and eyewear.

1.4.3.2. Fast Moving FMCG products and services: packaged meals, beverages, cosmetics, personal care products, and services like gyms, salons, and hospitals.

1.4.3.3. E-commerce: Social networking, e-commerce, classified ads, food technology, e-ticketing, and e-learning.

1.4.3.4. Agri-business: Dairy, fresh food, cereals, and agricultural chemicals and fertilisers.

1.4.3.5.Durable consumer goods White goods, kitchenware, laptops, cameras, mobile phones, and consumables for entertainment.

1.4.3.6.Home improvement: furniture, bedding, and toiletries.

Leading consumer goods firms worldwide have effectively reinvented their strategy with assistance from KPMG in India. Many of our most distinctive products and services are geared at enhancing customer-centricity, including:

- Data analytics and security
- Supply chain management
- Customer and digital transformation
- Growth and new business models

KPMG India assists consumer business achieve sustainable profitability and growth by enabling them to take advantage of new growth possibilities, improve their value proposition, and do so. Their tax services assist a customer-focused company with tax planning, compliance, and reporting across the board. Their committed specialists use the most up-to-date technologies and processes together with their agile viewpoint to give helpful insight. Their advising services make use of techniques and in-depth understanding of consumer markets to manage difficult strategic challenges including mergers and acquisitions, market entrance plans, compliance with new regulations, human resource management, and growth strategies.

1.4.4. EMERGING GIANTS PROGRAM

KPMG in India's Emerging Giants (EG) Programmes support privately owned businesses with their growth agendas by providing early stage funding advice, assisting with organisation structure in the appropriate jurisdiction, leveraging the power of technology and data to assist with revenue optimization, and finally assisting with exit planning.

India presently has the third-largest startup ecosystem in the world, with over 50 unicorn companies (companies valued at over \$1 billion). The Indian startups are the country's leading representatives of innovation and entrepreneurship, from e-commerce to electric automobiles. The startup ecosystem is still helping India become more digital, while also generating income and jobs for many different societal groups. As a result of persistent investments made by Venture Capital and Private Equity funds in Indian businesses, the global economy is pouring billions of dollars annually into India and overseas. The next two years are anticipated to be defining as several Unicorns are considering listing in India. A handful of businesses have provided investors with multiple fold profits.

There are already more than 50 unicorn firms (companies valued at over \$1 billion) in India, which boasts the third-largest startup environment in the world. From e-commerce to electric vehicles, Indian startups are the nation's top exponents of innovation and entrepreneurship. The startup ecosystem continues to contribute to India's digital transformation while simultaneously providing revenue and employment for a wide range of socioeconomic segments. The global economy continually pumps billions of dollars into India as a consequence of venture capital and private equity groups' consistent investments in Indian companies. Given that numerous unicorns are considering listing in India, the next two years are expected to be defining. A few companies have offered investors many fold gains.



1.4.5. ENERGY AND NATURAL RESOURCES

Economic growth and energy use are closely related to one another. The availability of affordable and environmentally friendly energy sources is crucial for an economy's growth and global competitiveness, but it has also been noted that the amount of economic development is influenced by energy consumption.

Since the Indian government started implementing market reforms in the 1990s, the country's energy needs have increased dramatically. The government's main priorities are energy sector reforms, capacity expansion, and infrastructure enhancement because these are essential for achieving the high economic growth targets set for the nation.

The economy of India is quickly adopting renewable energy. The development of atomic energy, conventional electricity, energy storage, and the infrastructure of

distribution and transmission are all priorities. To be prepared for the future, customer service improvements are essential, such as permitting new connections, security deposits, bill payments, lodging of complaints, and reconnections through digital platforms.

The practises of KPMG in India are structured with the knowledge that no two sectors are the same. In the energy sector, they retain a sharp industry focus and use an innovative service delivery strategy employing tried-and-true global processes to provide customers with objectivity, insightful information, and solid views on Tax and Advisory services.

They are well aware of the best practises in the sector and globally thanks to their status as the professional service providers of choice for some of the biggest energy and natural resource businesses in the world as well as domestic heavyweights. The ENR practise of KPMG in India aims to solve a wide variety of difficulties that businesses face along the whole energy value chain, namely in the identified subsectors of Power and Utilities, Oil and Gas, Mining and Renewables.

Key Contact: Anish De, Global Sector Lead- Power & Utilities, Energy and Natural Resources.

1.4.6. EDUCATION AND SKILLS DEVELOPMENT

The KPMG India Education and Skills Development practise is made up of a strong team of specialised professionals who offer forward-looking consulting services across a range of areas, including skills development, K–12 education, education technology, early childhood education, higher education, and supplementary education sectors. Their competencies are sharply focused along client issues in the skills and education space. They offer:

1.4.6.1.Strategy development and implementation consulting

1.4.6.2.Public Private Partnership advisory

1.4.6.3.Digital learning transformation advisory

1.4.6.4.Policy and regulatory advisory

1.4.6.5.Programme design and management

- 1.4.6.6. Funding, organisational design, and consulting services for people, process, technology, and implementation
- 1.4.6.7. Institutional capacity building
- 1.4.6.8. Large scale programme management
- 1.4.6.9. Impact assessments and evaluations
- 1.4.6.10. Market entry and admissions growth plans
- 1.4.6.11. Ranking and accreditation assistance
- 1.4.6.12. Enhancement solutions
- 1.4.6.13. Labour Market Information (LMIS) and Business Purpose Re-engineering (BPR) advisory etc.

Over the past ten years, KPMG India has completed several engagements for a variety of customers, including the regulators, federal and state governments, public and private educational institutes, corporations, NPO, and ed-tech companies, some of which are unicorns.

In the area of corporate social responsibility for corporations, they closely collaborate with bilateral and multilateral donors, international financial institutions (IFIs), foundations, and others on policy definition, planning, designing and implementing particular programmes, monitoring and evaluations, impact assessment, etc. In order to provide cutting-edge and sustainable services, their methodology takes into account social and environmental governance rules.

They are a significant contributor to the KPMG Global Steering Committee for Education and Skill Development and a member of the KPMG Connected Enterprise for Higher Education. In addition to India, the India team has also worked on the ground in Singapore, Jordan, Indonesia, the United Arab Emirates, Malaysia, Saudi Arabia, Kenya, Egypt, Kazakhstan, Nigeria, South Africa, Myanmar, Sri Lanka, Nepal, Bangladesh, and Bhutan. They have successfully delivered worldwide engagements along with KPMG International member companies in the UK, US, Canada, and Australia.

Key Contact: Narayanan Ramaswamy, National Leader- Education and Skill Development

1.4.7. FINANCIAL SERVICES

Key trends shaping the banking and financial industry landscape

- 1.4.7.1.Data and analytics are used in many facets of company to improve decision-making, and new age technologies like RPA, AI/ML, payments, cloud, platform models, talent, API/fintech, etc.
- 1.4.7.2.Pressure on revenue and market share - Inability to use capital due to a decline in investment and consumption, decreased effectiveness of traditional channels due to the entry of new players, and digitally enabled customers demanding immediate gratification and individualised services are just a few of the factors.
- 1.4.7.3.Cost pressure: a rising cost-to-income ratio, inefficient business practises, a lack of technology-enabled automation, and changes to the operating model as a result of COVID-19
- 1.4.7.4.Captive centres throughout the world are concentrating more on managed services and transformation.
- 1.4.7.5.A strict and dynamic regulatory environment; compliance norms that are in line with international standards, such as BASEL and IFRS; a rise in the FDI limit for insurance; and the granting of bank licences to major corporations and NBFCs.
- 1.4.7.6.Increased claims in the life and general insurance industries, the need for further capital injection, a shortage of liquidity, NPAs and restructured assets, the resuscitation of stressed organisations, cyber security, financial crime, etc. are all examples of ballooning risk.

KPMG India wants to assist our clients in achieving success in the following areas of business, technology, people, process, and risk:-

- With the help of their major tech partners, they are implementing and improving digital transformation in the areas of cloud, blockchain, RPA, BI & Analytics, IOT, AI/ML, and digital platforms.

- Market entrance, revenue growth, cost reduction, increased operational effectiveness, improved customer experience, and digital operating models all contribute to customer and corporate profitability.
- Behavioural change, workforce intelligence, talent management, organisational development, HR optimization and mergers and acquisitions are all related to people and change.
- For compliance, regulatory reporting, capital optimization, multidimensional profitability, planning and monitoring, accounts closing, fraud risk, and other purposes, use Oracle Financial Services Analytical Application (OFSAA). Governance
- Fund Accounting, Talent & HR, Procurement & Supply Chain, Technology, Network & Utilities, Managed Services - Talent & HR, Finance & Accounting, Tax, Inside Sales
- Services for financial reporting, capital market readiness, financial process transformation, international business services, and upskilling programmes are provided by CFO Advisory.
- Governance Solutions for risk management and compliance, such as Board Advisory, Agile Internal Audit, SOX, Management Audit, Corporate Governance, Third Party Risk Management, Revenue Assurance, Internal Financial Controls, and Regulatory Compliance
- Solutions for Financial Risk Management, including Capital Planning, Pillar II, and Risk Analytics Framework and policies for Risk Strategies, Worldwide Finance Centre selecting and implementing the system, evaluating and validating Solutions for Treasury ALM, Liquidity Risk, Insurance, and Actuarial
- Investigations, Fraud Risk, Verification Services, Forensic Technology, Corporate Intelligence on Entities and Individuals, Misconduct, and Compliance services for contract compliance morality hotline
- Deal Advisory Transactions: Post-Merger Integration and Separation, Fund Raise, Due Diligence, One M&A Advisory, and Valuation
- NPA Advisory, Lender Due Diligence, Techno-Economic Viability (TEV), Cash Management, Independent Business Reviews, Turnaround

Planning and Implementation are all parts of the Special Situation Group.

- Tax services, including advice on foreign exchange, corporate laws, trust laws, and other company regulations, guidance on joint ventures, licencing, and other agreements, due diligence, and FIPB/RBI licences and registrations for NBFC, PPI, Money Transfer Business, and Expat Tax Transfer Pricing.

To address the unique demands of FS customers, KPMG India offers a comprehensive spectrum of services. extensive expertise working with multinational teams (from more than 50 countries). They collaborate using cutting-edge, best-in-class technology, tools, and strategic relationships. knowledgeable about the regulatory environment. thought leaders with impeccable credentials and devoted subject matter specialists.

Key contact: Sanjay Doshi, Partner, Financial Services Advisory

1.4.8. GOVERNMENT AND PUBLIC SECTOR

Every one of India's 600,000 villages is anticipated to have acceptable digital access via optical fibres over the next three years. A large portion of governance tools and public service delivery options are likely to move to presence-free digital channels in the near future. There are about 1.14 billion mobile phone customers in India.

The development of India's economy has been fueled by the social sector, where several groups work to strengthen local communities. The Indian government has started a number of national initiatives that provide investors the chance to contribute to the development of India's infrastructure and delivery of public services. A new era of corporate changes in the economy has been announced by the state governments in lockstep with the federal government.

Governments are re-examining the whole value chain of service delivery, including physical and digital infrastructure, health and social services, and defence and public safety, in order to be responsible to one of the most essential stakeholders—citizens. Some of the major trends include:

- 1.4.8.1. An increase in public investment in areas like healthcare, agriculture, digital enablement, social development, public utilities like water, and indigenous manufacturing and production, some of which has been reinforced by COVID-19.
- 1.4.8.2. One of the main national goals has been "AtmaNirbhar" or self-reliance in defence manufacturing, with the goal of increasing the production of strategic military equipment. This is especially true in light of recent geopolitical instability.
- 1.4.8.3. The focus is now on digital infrastructure, including components of artificial intelligence (AI), machine learning (ML), and big data into urban infrastructure, after the previous phase's concentration on physical infrastructure and smart cities.
- 1.4.8.4. A stronger emphasis on community monitoring, pandemic tracking, and other aspects of digital healthcare.
- 1.4.8.5. The National Education Policy (NEP), which has been announced by the government, places an emphasis on up- and re-skilling as well as digital learning alternatives.

With a focus on attaining responsiveness, flexibility, and responsibility towards meeting the requirements of the population, KPMG India offers a broad variety of consulting, tax, and advisory services to support the government across the service aspects. KPMG India provides extensive knowledge, insight, and technical assistance in the sector.

Their team has the honour and luxury of collaborating closely with think tanks from both the public and private sectors in order to facilitate change and produce meaningful outcomes. Their service offerings, which include strategy and policy consulting, programme management, process improvement, technology transformation, and PPP consulting, are all intended to produce outcomes.

They participate in important, top-priority national programmes. Employ a three-pronged strategy that centres on digital augmentation, marketable idea products, and integrated sector solution offerings. In order to support effective governance, encourage development and improvement, and construct resilient infrastructures, among other

things, they collaborate closely with their customers. Assist in fostering an atmosphere that is favourable to entrepreneurs and underrepresented groups. They collaborate with both the federal and state governments to digitalize citizen-focused services. In order to provide sustainable and functional infrastructure, they offer advice on innovative finance methods, such as Public Private Partnerships (PPP). They seek to identify opportunities for employment creation and to foster a supportive business climate at the nexus of the public and private sectors.

Key Contact: Nilacha Mishra, Partner and Head of Government

1.4.9. LIFE SCIENCES

Indian life sciences sector has witnessed exponential growth in terms of scope and capabilities across the industry value chain. One of the key challenges the sector faces is the need for a strong collaboration between life sciences and healthcare companies to help meet the demand-supply mismatch. The need of the hour is for the product-push models to be complemented with service-oriented models that place a high priority on patients' interests.

KPMG in India is well-positioned to support life sciences companies as they leverage this opportunity, navigate these challenges, and gear up to meet these changes. Our professionals have extensive experience across the industry and strive to keep abreast with industry trends, drivers and issues through knowledge sharing and industry insights programmes. They have helped several companies with the challenges of product portfolio planning, change management, sales force effectiveness and supply chain transformation.

Their tax services support pharmaceutical businesses in planning, compliance and reporting of taxes across the spectrum, and their dedicated professionals utilise latest tools and methodologies with their agile perspective to provide constructive inputs. Their advisory services leverage our deep knowledge in life sciences and their methodologies to manage complex strategic issues such as Mergers and Acquisitions, market entry strategies, new regulatory requirements, people management and growth strategies.

KPMG in India has helped leading life sciences companies to successfully reinvent their strategies. Their team is dedicated to assisting businesses of a wide range of sizes from biotechnology start-ups to multinational pharmaceutical companies. Their industry-focused professionals have deep experience across the life sciences sector and continuously strive to keep abreast of industry trends, drivers and issues.

Key Contact: Vijay Chawala, Partner & Head- Life Sciences

1.4.10. MEDIA & ENTERTAINMENT

India's media and entertainment (M&E) industry continues to rack up impressive growth numbers that not only captures the imagination of billions of Indians, but also captivates global audiences. The M&E sector has entered an era of innovation and transformation as organisations seek to increase their relevance and appeal to both popular and more niche consumers. Traditional businesses – print, radio, broadcasting – are witnessing the greatest change with digital platform companies emerging as the primary disruptors.

KPMG in India works closely with companies across the value chain to help them sustain, grow, and diversify their business. The combination of new technologies and the current economic climate have elevated change to a new level. Recognising the dynamic nature of M&E industry, KPMG recognises the many implications of digital content transformation.

Indian M&E industry is on an impressive growth path. The industry is expected to grow at a much faster rate than the global average rate. Many of their unique and recognised offerings are designed to improve customer-centricity. These include customer and digital transformation, data analytics and security, supply chain management and growth and new business models.

Their tax services support consumer-centric business, compliance and reporting of taxes across the spectrum. They enable them to address critical matters such as mergers and acquisitions, market entry strategies, new regulatory requirements, people management and growth strategies. Their cohesive sector team of experts helps clients navigate through complex and often fragmented processes.

Many of the country's leading media and entertainment companies have chosen KPMG in India as their business and financial advisor. Issues such as regionalisation, growth and profitability, M&A, internationalisation, technology, HR & change management challenges, etc. are at the top of mind for the industry today. Their dynamic insight developed through analysis of various sub-segments and deep interactions with the industry players combined with data driven approach can help organisations deal with these challenges.

1.4.11. TECHNOLOGY

Leading tax and advisory services are offered by KPMG to businesses in the Indian IT sector. Technology businesses, from start-ups to Fortune 500 firms, seek to protect their market position through disruptive innovation. It is now more crucial than ever for the sector's executives to comprehend the complexity of these new goods, services, and the resulting new emerging models, as well as how they will affect business transformation.

Technology experts at KPMG in India are aware of how rapidly things are changing. They blend technical expertise with industry understanding to deliver insights that assist technology executives in managing their intricate business models. Beyond the issues of today, their experts look ahead to probable long- and short-term effects of changing corporate, financial, and technological strategies. They also assist clients in exploring potential barriers to change and working together on crucial choices that might truly benefit their companies.

KPMG in India makes use of a worldwide network of experts to assist customers in achieving their international business goals. Be it purchasing a business, developing a strategic distinction, starting a path to increase income, or handling regulatory needs. They offer innovative services to help businesses become today's leaders.

Key Contact: Akhilesh Tuteja, Global Cyber Security practice Co-leader, Technology.

1.4.12. TELECOMMUNICATIONS

KPMG's telecom practice consists of over 200 dedicated specialists with vast sector expertise, enabling the firm to emerge as one of the four Telecom Centers of Excellence among KPMG member firms globally. They have worked across 50 countries in last 6

years on various telecom projects and understand challenges their clients face. They bring together a diversified skill set and suite of service offerings to meet contemporary needs of the telecom sector.

It has become crucial to properly negotiate concerns including risk, cost, market evaluations, domestic regulation, etc. in light of the industry environment's rising complexity and challenges. Their high-performing employees, knowledge, breadth of application, and capacity for cutting through complexity provide the informed viewpoints and approach that our communication clients want.

Having access to a powerful worldwide network of communications professionals within the KPMG business. The goal of KPMG in India is to better serve the telecom business by combining worldwide communication expertise, experience, and talents. The ability to provide services to their communication clients rests with their people, skills, and service lines.

Clients rely on them for knowledgeable opinions on the problems and difficulties faced by the market, and they make use of their telecommunications skills for more efficient business processes.

KPMG in India provide a range of services to address the unique needs of telecom customers as they navigate the growth process. IT service management, digital transformation, network transformation, OSS-BSS transformation, growth strategy, revenue enhancement, financial management, customer experience, disruptive technologies, cost optimization, cybersecurity, integrated risk management, data analytics, mergers and acquisitions (M&A), internal audit, and tax advisory, SAP, Oracle - ERP, ESG advisory, CSR, IGH-governance, and scalability are some of the main areas where they support clients.

Key Contact: Purushothaman KG, Partner & Head, Digital Solutions & Telecommunications Industry Leader

1.4.13. TRANSPORT & LOGISTICS

The Mobility and Logistics Services group helps clients through the entire life cycle of developing a transportation system and delivering mobility & logistics services. Their specialists help facilitate design, delivery and maintenance of transport infrastructure and associated systems aligned to contemporary standards. Its robustness was tested amidst unprecedented events when it facilitated essential and emergency passenger transport and supply of essential goods in the country.

In the post COVID-19 scenario, while the fundamental requirements remain the same, reprioritisation of planned initiatives to ease the enhanced pressure on public sector spending is a major ask. An improved freight transport through enhanced logistics efficiency and cost, evolved passenger mobility options, increased digitisation and technology adoption and sustainability need to be critical focus areas. Additional elements of social distancing and health protection particularly from a passenger transport perspective must be watched carefully.

KPMG in India has worked extensively with various central, state and local government agencies and large private sector investors and stakeholders in the country in the transport and logistics sector. As a member of a global network, we successfully blend an understanding of international best practices and insightful local market knowledge to provide customised service offerings to our clients.

KPMG in India has an impactful Mobility & Logistics team with a dynamic mix of specialists in strategy, development, delivery, asset management, investment and technology offerings consistently providing end to end value added services. Our experts strive to tailor customised offerings for clients considering latest trends in markets/ technology and the sustainability aspect consistently delivering technology enabled services.



1.4.14. KPMG ENTERPRISE/ FAMILY RUN BUSINESS

1.4.14.1. MERGERS & ACQUISITIONS

Deal Advisory's recently introduced "One M&A" strategy provides a comprehensive range of services. Their extensive array of deal-related services, including corporate finance, transaction services, deal strategy, valuations, special situations group, transaction tax, structuring, and post-deal services, are all brought together in one endeavour. To assist organisations in achieving their goals, they mix local experience with a global attitude, cutting-edge analytical tools, and in-depth sector knowledge. Organisations may navigate through difficult and sometimes disjointed processes with the aid of their cohesive team of professionals.

They work to give their customers objective advice, question conventional knowledge, and use creativity and expertise to create and carry out a successful solution, whether it be for capital raising or restructuring, business acquisition or sale, or strategic and policy decisions based on value.

1.4.14.2. CLIMATE CHANGE AND SUSTAINABILITY

Businesses now need to design sustainable business models that include environmental, economic, and social principles at operational, strategic, and managerial levels due to growing worldwide concerns about environmental, social, and safety issues.

They provide clients with a comprehensive range of service options for addressing current and developing ESG concerns using ideas and techniques that are widely recognised and have been tried and true over time.

1.4.14.3. BUSINESS INTELLIGENCE

For better decision-making, data and analytics are utilised to extract insights from a massive amount of data. With a single version of truth for the whole business, KPIs can be tracked and further investigation is also available at the touch of a screen. Data and analytics may help organisations predict outcomes like sales projection, cost optimization, inventory optimization, and predictive maintenance using big data, machine learning, and statistical modelling.

1.4.14.4. CYBER SECURITY

The world is always evolving when it comes to cyber security. Every day, there are new risks, and governments and authorities are paying more close attention to information security.

A company's size or location may lead them to believe they are not at risk. That might not be the case, though. Cyberthreats are a reality for all businesses. KPMG may collaborate with them to identify your top cyber dangers and assist them in developing a clever and economical strategy to safeguard their data as well as their reputation.

1.4.14.5. TECHNOLOGY ENABLEMENT

For big and mid-sized businesses, KPMG offers end-to-end services for Microsoft Solutions in fields including field service, trade promotion management, and digital supply chain management. Offerings of services comprise:

- 1.4.14.5.1. Comprehensive application
- 1.4.14.5.2. After-action evaluation
- 1.4.14.5.3. Controlled services
- 1.4.14.5.4. performance improvement.

Key Contact: Rohit Berry, National Head- Deal Advisory- One M&A

CHAPTER-2: INDUSTRY ANALYSIS

2.1. STRENGTHS

- 2.1.1. Wide-ranging Geographic Reach: KPMG has a sizable clientele in many different global industries. KPMG has partners and 236,000 employees spread throughout 650+ locations in 145 different countries.
- 2.1.2. Brand Identity: Being a member of the Big 4 has elevated this business to the top of the list for audit, tax, and consulting services. KPMG is known for providing top-notch services all around the world.
- 2.1.3. KPMG upholds the following core values: honesty, excellence, bravery, and unity. According to Bloomberg Businessweek, KPMG is also placed fourth among the "50 Best Places to Launch a Career" list for 2009.
- 2.1.4. Revenue Growth: KPMG reported a 10% increase in US dollar revenue in FY21 over FY20.
- 2.1.5. High Customer Satisfaction: KPMG has a client-centered strategy. For its customers, it offers loyalty programmes. Customers remain loyal as a result of its customer-focused strategy. Employees enjoy working there, and management-led cultural change is present.
- 2.1.6. Awards & Recognition: KPMG has received several honours, such as the experienced risk management award, 2009 top consulting rating, 2011 world's best outsourcing adviser, and many more.
- 2.1.7. Sponsorship: The KPMG brand has a special sponsorship agreement with several events all around the world. They are increasing market transparency by doing this. It has supported Brain Bar strategically as of 2016 as a sponsor.

2.2. WEAKNESS

- 2.2.1. Unapproachable: Due to its expensive fees and extensive knowledge, KPMG is unapproachable due to its global operation.
- 2.2.2. Lack of Differentiating Factor: KPMG lacks a distinct USP that sets it apart from the other Big 4 firms.
- 2.2.3. Reputational Issues: KPMG has been engaged in a number of issues that have damaged its reputation, such as the episode involving their former partner's insider trading.

- 2.2.4. Difficulty Expanding Service Categories: KPMG is doing well in the services they now provide, but they have had limited success in adding new service segments.
- 2.2.5. Lack of Coordination: Teams may struggle to communicate and coordinate as a result of many sectors functioning at once. While KPMG has been attempting to assist some mid-sized businesses, it is up against fierce competition, which might further impede development.
- 2.2.6. Dependence on Consulting: Despite working across a variety of industries, which can be detrimental to businesses in the long term, consulting is a significant source of revenue for KPMG.
- 2.2.7. KPMG has struggled to keep up with the leading companies in the sector in terms of innovation and R&D spending. It has the appearance of a seasoned company eager to release items with tried-and-true features.

2.3. OPPORTUNITIES

- 2.3.1. Easy Acquisitions: Since KPMG is already well-known on a worldwide scale, acquiring companies with a lesser market share is simpler for them.
- 2.3.2. Talent Attraction and Retention: Everyone enjoys working for companies with positive work environments; KPMG may utilise this to its advantage when choosing the best human resources available.
- 2.3.3. Big 4 Label: This label will enable them to seize chances and guarantee success in international rising markets.
- 2.3.4. Technological Advancement: Automating their task with the help of technology would save them money. Additionally, because of their substantial income, investing heavily in technology is made simpler.
- 2.3.5. The need for audit, tax, and consulting services will always exist due to the frequent changes in numerous rules and the expanding size of enterprises.
- 2.3.6. Experience in Financing & Auditing: KPMG offers expertise in technology-related finance and auditing, which might be useful to the global financial services industry.
- 2.3.7. Mid-Market Enterprises: KPMG will target mid-market businesses because of its extensive portfolio of goods and services that cater to a wide range of clients. The business will have several opportunities as a result of this.

2.4. THREATS

- 2.4.1. Competition is fierce: Companies like Deloitte, PwC, Accenture, EY, and others that offer comparable services compete fiercely with KPMG.
- 2.4.2. Legislative and regulatory changes: Laws like the Sarbanes-Oxley Act of 2002 constitute a danger to the accounting business as a whole, as are ongoing revisions to GAAP.
- 2.4.3. Having little confidence Clients are losing faith in accounting companies as a result of the numerous regulatory actions announced in recent years, such as the firm's global network of affiliates being involved in both regulatory proceedings and litigation.
- 2.4.4. Threat to cyber security: Because so much of KPMG's business involves technology and the internet, they are vulnerable to cybercrimes.
- 2.4.5. Foreign currency exchange rate fluctuation: Changes in the exchange rate of foreign currencies might result in losses because KPMG provides services to customers in other nations as well.

CHAPTER-3: DATA COLLECTION AND PRESENTATION

Due to non-disclosure agreements, I signed before accepting any project-related data, I am unable to provide any information about the projects I worked on while an intern with KPMG. Instead, I am providing information from the CII Kroll Fraud Survey Report, 2021 to highlight the importance of forensic investigation and the significant contribution it makes to protecting the economy.

Corporate risk has seen an extraordinary year as businesses manage the effects of COVID-19 while simultaneously dealing with challenges from all sides. Understanding markets, counterparties, and the forces that might upset a company's agreements and assumptions have always been key to mitigating business risk. The sorts of important events the CII-Kroll Fraud Survey 2021 respondents experienced in the previous 12 months and the priority levels they give to various risk mitigations show the widening of the risk environment.

BOARD LEVEL ENGAGEMENT: Internal corporate cultures that value responsibility and openness are more successful in lowering the risk of fraud. Senior executives are essential in ensuring that this mindset permeates a whole organisation. According to Kroll's global study, boardroom bribery and corruption are becoming more of a focus. Nuanced data analytics will be required in addition to a top-down focus on long-term cultural messaging that takes into account regional business practises and attitudes.

ENTREPRRISE-WIDE RISK ASSESSMENT AND INTERNAL CONTROL FRAMEWORKS: To understand vulnerabilities across their whole business, 82 percent of firms completed an enterprise-wide risk assessment in the last five years. Three out of every four businesses feel their internal control system is efficient on average. Although the respondents with the lowest levels of confidence were once more from the banking industry, this is true for businesses of all sizes and in a variety of industries (60 percent).

Which Type of Cyber Fraud Incident Has Your Organization Witnessed?

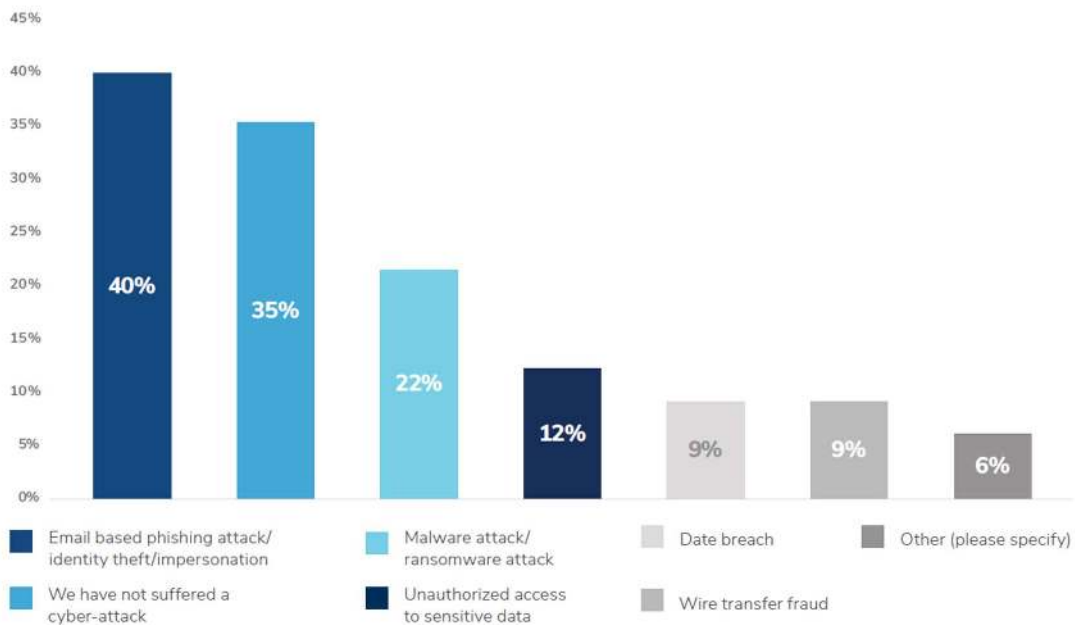


Figure: Different types of cyber fraud witnessed by various organizations

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

When the nation went into lockdown, the fraudsters went along with it too. This allowed them to transform the nature of their fraud and take it to online. India had become prone to cyber threats with phishing and ransomware attacks growing significantly. As per the CII Kroll India Fraud Survey, “Remote working has seen ransomware attacks increasing 148% worldwide.”

What Kind of Fraud Has Your Organization Suffered During the Last 12 Months?

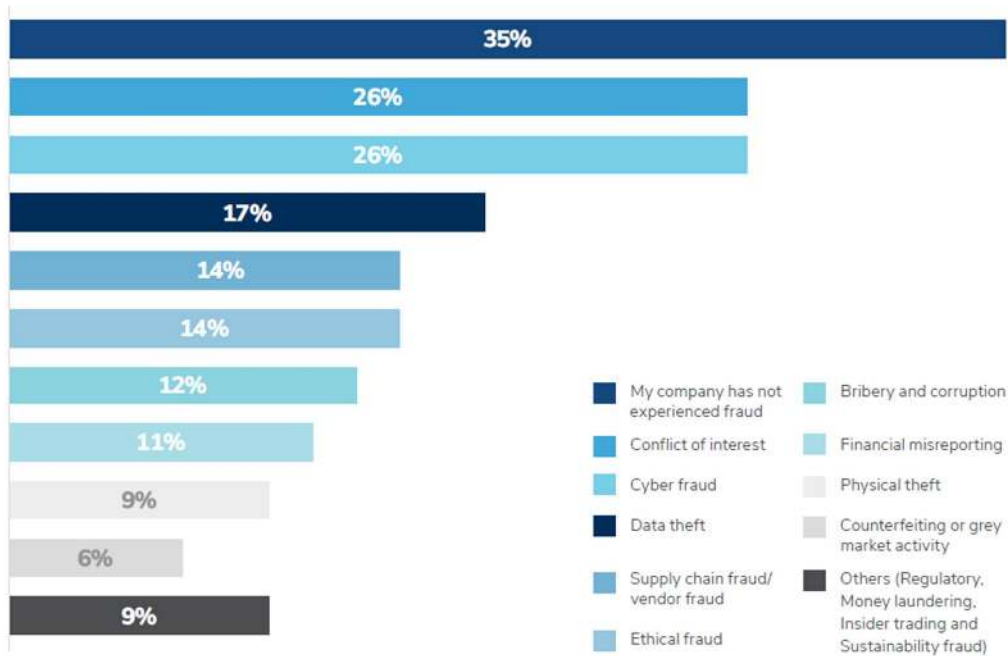


Figure: Different types of cyber fraud witnessed by various organizations in the last 12 months

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

What Are the Key Triggers of Fraud?

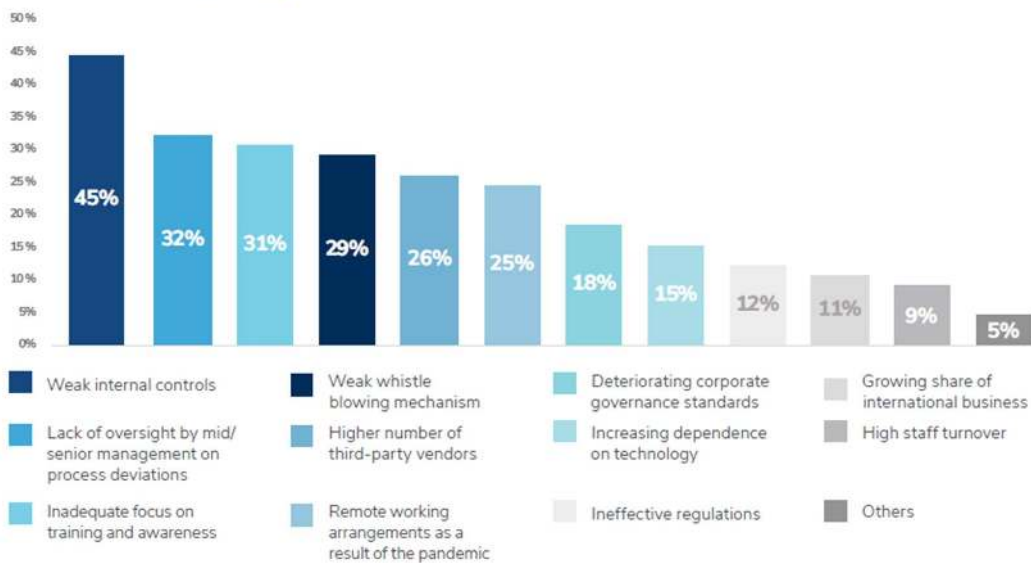


Figure: Key triggers of fraud

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

Organisations are aware that the major key trigger to being defrauded is weak internal control yet, there are only so many organisations willing to take up steps to strengthen their internal control.

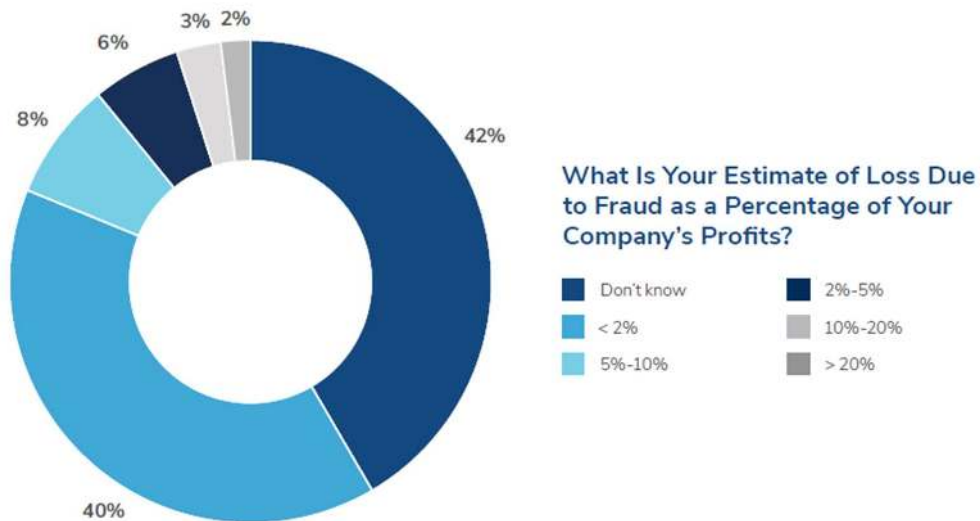


Figure: Estimate of loss due to fraud

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

Majority of the organisations in India are still unaware of the loss being born by them due to being defrauded.

What Do You Think Is the Biggest Impact of Fraud on Your Business?

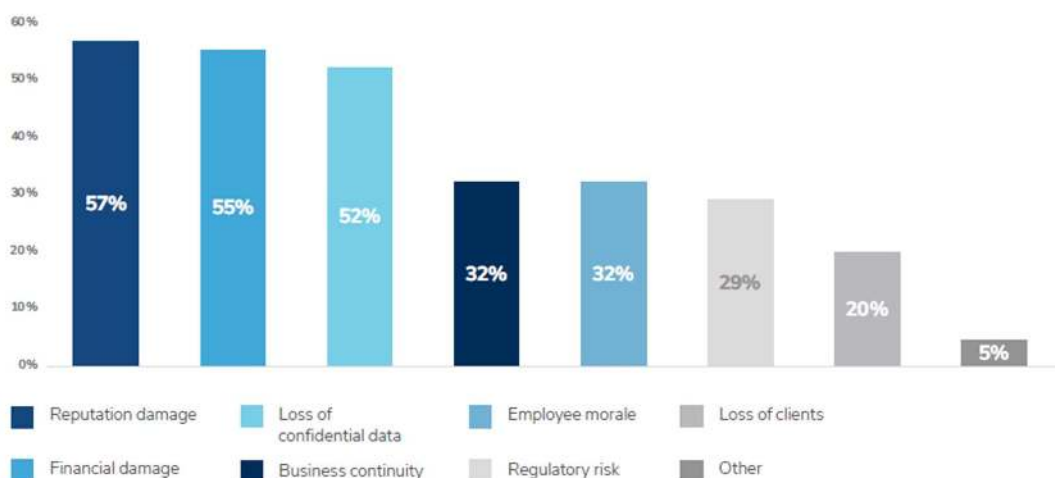


Figure: Biggest impact of fraud

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

Apart from the financial damage an organisation undergoes, reputational damage is biggest impact that an organisation undergoes when defrauded.

What Steps Has Your Company Taken to Counter Fraud?

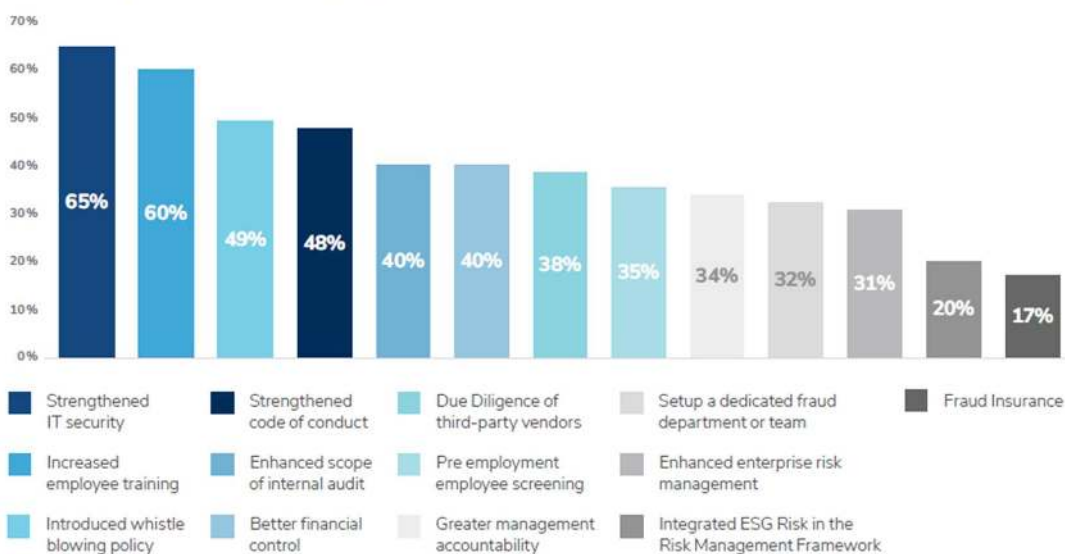


Figure: Measures taken by organisations to counter fraud

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

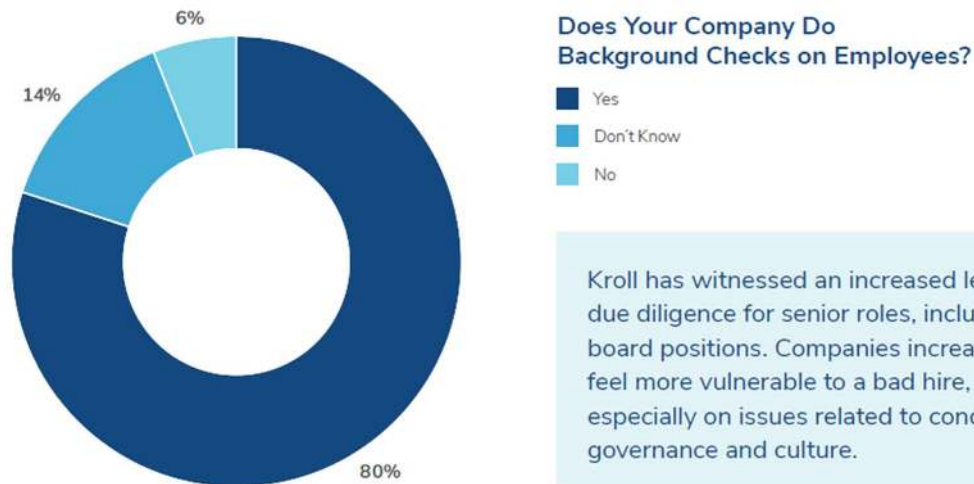


Figure: Screening Staff

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

As a result of the awareness, the organisations have now commenced screening their staff rigorously.

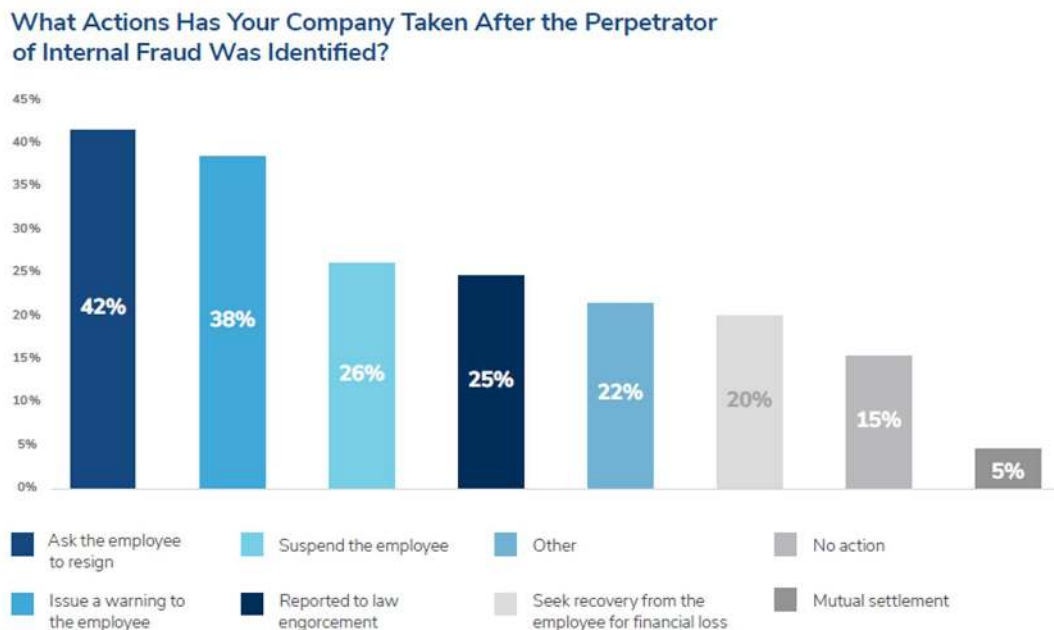


Figure: Actions against fraudsters

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

However, it is unsettling to uncover that even after the perpetrator has been identified by the organisation, majority of the organisations resort to asking the employee to resign, issue a warnign letter to them or at the maximum level suspend the employee. Only about 25% of the organisations report agaisnt the perpetrator to the law enforement and 15% of the organisations still don't take any action against them.

What Steps Can the Government Take to Reduce Fraud in India?

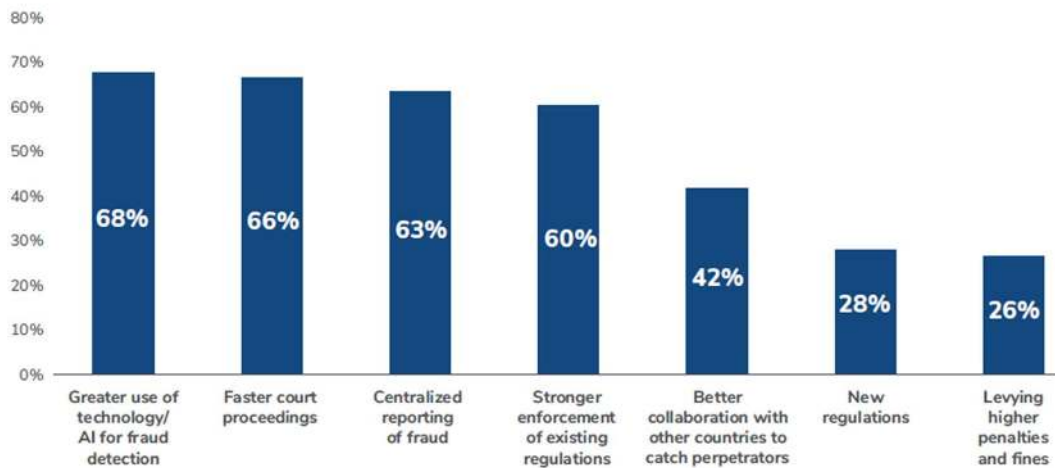


Figure: Steps government can take to reduce fraud

Source: (<https://www.kroll.com/-/media/kroll/pdfs/publications/cii-kroll-india-fraud-survey.pdf>)

As per various organisations, governement can take up vairious steps to control the rising fraud in India. Apart from providing legal enforcements to the organisations, the government can bring in mandatory assistanced from forensic professionals to strengthen the internal controls of the organisations.

CHAPTER-4: RESPONSIBILITIES, DELIVERABLES, ANALYSIS AND FINDINGS

4.1. PROJECT- 1: FRAUD RISK ASSESSMENT OF DATABASE OF A LIMITED COMPANY

Determining the level of fraud risk that the organization's database was exposed to, was the requirement of the engagement. The process entailed creating an audit trail and looking for any errors in the several databases used by the business.

4.1.1. KEY RESPONSIBILITIES & DELIVERABLES

- 4.1.1.1. Reconciling two distinct SAP data dumps of the inventory movement process, identifying any difference, and flagging it were the main duties. For instance, any inventory or spare component that the organization provided to its workers to use or replace was to be utilised in conjunction with a specific service number, and the replacement item was to subsequently be handed back to the company. Any inventory issued but the replacement not returned to the firm, unidentified, was a loophole in the company's database.
- 4.1.1.2. The other duties involved capturing relevant data from the physical copies of the documents and reconciling it with the SAP data dump. While reconciling it required identifying and flagging any difference.
- 4.1.1.3. Thirdly, parties on public domain to establish if there exists any relationship between either of them to assess the risk of vendor collusion. The above procedures aided in preparation of audit trail of the inventory movement process helping us in identifying any red flag and or missing documents.

4.1.2. LEARNINGS

- 4.1.2.1. Different stages in the inventory movement process, as well as the relevance and value of each step.
- 4.1.2.2. Various touch points of each transaction recorded in the SAP and how to reconcile them.
- 4.1.2.3. Understanding the importance of each detail recorded in the documents and its importance.

4.1.2.4. Using search engines for specific public domain searches.

4.2. PROJECT- 2: WHISTLE-BLOWER COMPLAINT REVIEW

“A whistle-blower is a person, who could be an employee of a company, or a government agency, disclosing information to the public or some higher authority about any wrongdoing, which could be in the form of fraud, corruption, etc.” as defined in an article by The Economic Times.

As part of the engagement, we had to investigate a complaint the organization had received against two of its employees for allegedly conspiring with the organisation's vendors.

4.2.2. KEY RESPONSIBILITIES AND DELIVERABLES

4.2.2.1. Reviewed the custodian's user files, including .pdf, .txt, .xlsx, .jpg, .jpeg, and .png files, to investigate the presence of the complaint the organisation had received.

4.2.2.2. Each file that was inspected was given an importance scenario, and the files were then classified into appropriate folders.

4.2.2.3. To determine if any two files are connected to one another and if a trail or channel can be constructed, each file was analysed while keeping in mind the prior files that were reviewed.

4.2.2.4. All files deemed to be of high importance were noted in the datasheet following the review process, and a brief extract was placed within to indicate the knowledge of each file and to record pertinent information discovered in the file for further reference.

In order to confirm any vendor favouritism cases and determine whether the custodian was receiving any form of kickbacks from the vendors in exchange for any favours, the aforementioned approach helped detect the presence of any red flags.

4.2.3. LEARNINGS

4.2.3.1. Different forms of user files and importance of each form in such cases.

4.2.3.2. Process to review such user files and understanding what the investigators are looking for in any such case.

4.2.3.3. Understanding the process through which any device captures the activity of its user.

- 4.2.3.4. Verification of claims by cross-referencing with pertinent files and documents.
- 4.2.3.5. Process of maintaining database of files reviewed.
- 4.2.3.6. Understood the practical application and approach to be taken towards a forensic case and the linking and importance of each file derived from a custodian.

4.3. PROJECT- 3: FRAUD RISK ASSESSMENT OF VARIOUS PROCESSES OF A LIMITED COMPANY

In the given engagement we were required to analyse four expenditure processes of the organization and verify if the defined SOP is being followed and, identify the loopholes or gaps in the process which makes the process prone to fraud and theft. Out of the given four process, I was deployed on two of them.

4.3.2. PROCESS DEFINED

- 4.3.2.1. Both processes fell under the same classification. One of them dealt with capital expenditures and their upkeep, and the other dealt with the organization's operations. As a result, the following definitions apply to both processes:
- 4.3.2.2. The user department had to raise a purchase request as the initial step (the department which would be the ultimate consumer of the said purchase).
- 4.3.2.3. The following stage was creating a thorough requirement document that included all the specifications, dimensions, quantity, and make, if applicable.
- 4.3.2.4. Along with the comprehensive demand, the user department was required to recommend suppliers who, in their opinion, are equipped to manage the contract.
- 4.3.2.5. After that, the buying department would issue an RFP to those specified vendors and request a proposal.
- 4.3.2.6. The vendors would next be evaluated based on the technical criteria and rated in accordance.
- 4.3.2.7. Vendors who got qualified in the technical round would then be evaluated commercially.
- 4.3.2.8. Vendors would then be ranked as per their aggregate score.
- 4.3.2.9. A negotiation meeting would then be held with the top 3 qualified vendors wherein they would be asked to quote their best price.
- 4.3.2.10. After the receipt of the quotations the vendors would then be ranked once again.

4.3.2.11. Approval from the management would then be sought to award the contract to the vendor with the highest aggregate score or the Level 1 vendor.

4.3.2.12. Once the approval is received, the contract would then be awarded to the Level 1 vendor.

4.3.3. KEY RESPONSIBILITIES AND DELIVERABLES

4.3.3.1. One of the first requirement was to understand the background of the organization, its structure, its financial statements and various SOPs laid down by the organization.

4.3.3.2. Participate in internal team discussions to understand the SOP of various processes.

4.3.3.3. Assist in reviewing documents and identifying discrepancies/ gaps from the SOP and risk-based analysis.

4.3.3.4. Prepared review template by capturing all the relevant information identified during the document review.

4.3.3.5. Identified deviations/gaps from the SOP and assigned risk scenarios to the observations identified.

4.3.3.6. Participated in discussions with client to gain understanding on the samples selected for review and to obtain their clarifications on the deviations identified.

4.3.3.7. Searched companies on public domain to ascertain their authenticity and identify if there exists any relationship between any of the parties.

4.3.3.8. Assisted in writing report for all the observations identified, prepared flow charts, annexure, and exhibits.

4.3.4. LEARNINGS

4.3.4.1. The practical application and approach to be taken towards a risk assessment engagement.

4.3.4.2. Various internal processes of a client dealing in Airline industry and the touchpoints of review.

4.3.4.3. The method to approach a process review and capture relevant data for observation and future analysis.

4.3.4.4. The importance of a source document for any observation and its supporting documents.

4.3.4.5. The format in which the minutes of the meeting should be prepared.

4.3.4.6. The method to use when examining a sample, how to connect one observation with another to comprehend the full sequence of events that would have occurred, and how to uncover pertinent evidence that supports the established theory.

4.4. OTHER MISCELLANEOUS ASSIGNMENTS UNDERTAKEN

Various other assignments were undertaken belonging to both precautionary audit and forensic investigation. Apart from these assignments falling under business development and human resource were also undertaken.

4.4.2. KEY RESPONSIBILITIES, DELIVERABLES

4.4.2.1. The human resource assignment required me to schedule interviews with the candidates and one of the Directors of the Forensic department. The key take away from the assignment was that the corporate culture not only values other's time but also the responsibilities that they have taken up and provides the candidates options when scheduling their interview.

4.4.2.2. Formatted and compiled the data from MCA database for future reference.

4.4.2.3. Reconciled list of companies from different database to identify the unique ones.

4.4.2.4. Researched CARO Amendments and captured all relevant points and amendments.

4.4.2.5. Researched sectors of a list of companies in which they operate.

4.4.3. LEARNINGS

4.4.3.1. Resources to discover intricate company information.

4.4.3.2. Generic search methods to get pertinent news items.

4.4.3.3. Keyword blending for pertinent news articles

4.4.3.4. Utilizing databases from MCA and Zaubacorp

4.4.3.5. Being persistent and developing patience

4.4.3.6. Presenting one's work well and accepting responsibilities.

CHAPTER-5: CONCLUSIONS, LEARNINGS AND RECOMMENDATIONS

5.1. CONCLUSION

Being able to work with one of the "Big 4" is the finest thing that has ever happened to me. My two-month internship with KPMG India has been nothing short of valuable experience. It was a true pleasure to collaborate with several teams of subject matter experts who were always there to assist in the event of a challenge or difficulty. During these two months, I learned a lot about corporate culture, how to conduct myself in a professional setting, how much coordination is needed to complete a task, the value of communication in completing assignments, various techniques for conducting forensic investigations, the significance of deadlines, the nuances of presenting project status reports to directors and partners involved in projects, and the amount of preparation needed to complete a task.

5.2. LEARNINGS

5.2.1 REPORT PRESENTATION

I was able to understand the significance of report presentation to directors and partners on project progress update since I participated in a variety of projects during my internship. It was an absolutely essential component of any project since it gave the leadership knowledge of the project's status and aided in developing client relationships and trust. It was a crucial lesson for me to learn because it entailed excellent communication and promoted efficient workflow. In addition, I discovered how important it is to pay attention to even the smallest things when writing a report in order to improve its attractiveness and clarity.

5.2.2 TEAMWORK

During the internship I understood the importance of teamwork. I understood that even though employees are assigned tasks according to their understanding and experience

level but sometimes, the tasks assigned are not on the basis of their understanding or experience but on the basis of requirement of the project.

5.3. RECOMMENDATIONS

The organisation is dedicated to supporting SDG-4, "Quality Education," and lifelong learning on a global scale since they see them as crucial enablers for all other SDGs. In addition to providing high-quality education, the organisation must also promote Sustainable Development Goal 5, "Gender Equality," as it is a crucial component. By attempting to maintain a balanced male to female employment ratio across all of its member enterprises, the organisation may assist the aim by driving to promote gender equality among its own employees.

CHAPTER-6: BIBLIOGRAPHY

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